Chapter Forty-Three

Two Big Tax Reforms: GST and Corporate Tax Cut

India has seen two big bang tax reforms introduced in the last four years.

The vastly complicated, disjointed, disintegrated and regressive indirect tax system of the country was overhauled massively in 2017 when the country moved to the Goods and Services Tax (GST) regime for all goods and services barring a few, largely petroleum, products. While the GST did create ‘one nation one market’ in the country and speeded up movement of goods across states, its impact on India’s indirect tax performance and on the GDP has remained quite muted. It remains a work in progress.

The government announced a massive reduction in corporate income tax rates in September 2019 which substantially lowered the corporate tax rates for all companies. For new manufacturing companies, the rates were brought to as low as 15 per cent, which made India immensely competitive on the corporate tax front. The corporate rate reduction was also accompanied by removal of quite a few exemptions and favoured treatment, though this was done in quite a complicated manner.

Where does the country stand in 2021 with respect to these two big bang reforms?

GST: Still a Work in Progress

India Moves to GST on 1 July 2017

GST brought massive reforms to the taxation of goods and services in the country.